

Tencent Holdings (700 HK)

Buy: GIS 2026 tour key takeaways

- ◆ Key focus on AI strategy, monetisation and chip strategy
- ◆ Core business fundamentals still solid
- ◆ Maintain Buy and TP at HKD750.00

We hosted Jane Yip (Senior Director of IR Department) and PH Cheung (Director of IR Department) for the HSBC Global Investment Summit 2026 (GIS) tour on 8 April.

Key investor questions centered around AI development: 1) **AI strategy:**

Tencent is developing agentic AI features in Weixin but the launch timeline is yet to be confirmed. Current models in the market, including SOTA models globally, cannot support the complex execution of agentic AI functions in Weixin, so Tencent is working on solutions. HY 3.0 will improve in multiple areas including inferencing, long memory, long context, multi-turn questioning and agentic capabilities, and it will be launched in April. The model is viewed as one of the many key steps forward on a long journey of model upgrades. Tencent started its investment in AI several years ago, but stepped up investments in recent years and margins could see an impact from higher spending on talent, marketing, and bandwidth & server costs. 2) **AI monetisation:** Apart from ads, games benefits from content production (e.g., AI-powered skinning technology which creates more attractive skins at a faster pace, benefitting paying ratio and ARPU), and user engagement (e.g., AI teammates in PvP games and NPC in PvE games, which increase gamer retention). Tencent's Cloud business will benefit from AI demand: i) GPU compute offered to external clients and adjacent solutions like data storage; ii) subscription revenue from autonomous agentic AI solutions such as WorkBuddy, which sees paying propensity from prosumers; iii) customised agentic AI deployment for enterprises (e.g., Tencent Agent Development Platform). 3) **Chip strategy:** Tencent sources chips from multiple vendors and collaborates with domestic chip makers to customise chips to improve yield for inferencing of businesses such as games and long video. It continues to buy and lease computing power and will adjust the mix of the two subject to chip availability.

1Q26 preview: Tencent will report 1Q results on 13 May. We expect revenue and non-IFRS OP to grow 11%/7% y-o-y, respectively. **By segment (1Q y-o-y growth):**

1) Domestic Games (+9%): Honor of Kings (HoK): World was launched on 10 Apr with a relatively light marketing effort. Leveraging HoK's IP appeal, we expect grossing to ramp up gradually. Roco Kingdom: World, released on 26 March, was off to a strong start. **2) International Games (+14%)** faces tough comps this year and could see more pronounced growth deceleration in coming quarters. **3) Marketing Services (+19%):** This is driven by higher conversions, more collaboration with eCommerce players and ad inventory in Video Accounts. **4) Fintech and Business Services (+9% yoy),** driven by AI demand and favourable pricing for cloud.

Shareholder return: As the top priority is agentic AI and model development, we expect Tencent to take a holistic approach in capital allocation, by paying a cash dividend while maintaining buybacks, but the latter are a lower priority due to the high return opportunities from AI investment.

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Equities Internet Software & Services

China



MAINTAIN BUY

TARGET PRICE (HKD)

750.00

PREVIOUS TARGET (HKD)

750.00

SHARE PRICE (HKD)

504.50

(as of 10 Apr 2026)

UPSIDE/DOWNSIDE

+48.7%

MARKET DATA

Market cap (HKDm)	4,603,864	Free float	67%
Market cap (USDm)	587,895	BBG	700 HK
3m ADTV (USDm)	2,010	RIC	0700.HK

FINANCIALS AND RATIOS (CNY)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	28.09	31.37	35.34	39.81
HSBC EPS (prev)	28.09	31.37	35.34	39.81
Change (%)	0.0	0.0	0.0	0.0
Consensus EPS	28.03	30.79	34.31	37.98
PE (x)	15.7	14.0	12.4	11.0
Dividend yield (%)	1.1	1.2	1.3	1.5
EV/EBITDA (x)	13.7	11.7	10.1	8.7
ROE (%)	24.4	23.3	22.7	22.1

52-WEEK PRICE (HKD)



Source: LSEG IBES, HSBC estimates

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Financials & valuation: Tencent Holdings

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	751,766	835,804	904,751	963,003
EBITDA	310,767	352,716	396,249	439,606
Depreciation & amortisation	-66,028	-83,929	-89,003	-90,878
Operating profit/EBIT	244,739	268,786	307,246	348,728
Net interest	1,779	4,089	6,296	10,355
PBT	277,249	297,814	338,781	385,922
HSBC PBT	312,033	344,234	387,582	436,481
Taxation	-47,448	-51,244	-58,246	-66,277
Net profit	224,842	243,254	277,218	316,329
HSBC net profit	259,626	289,674	326,020	366,888
Cash flow summary (CNYm)				
Cash flow from operations	303,052	323,417	363,645	396,988
Capex	-112,723	-125,606	-135,968	-144,722
Cash flow from investment	-205,732	-105,870	-114,401	-119,448
Dividends	-39,907	-41,669	-46,825	-53,362
Change in net debt	40,596	-123,955	-150,496	-172,255
FCF equity	190,329	197,811	227,677	252,266
Balance sheet summary (CNYm)				
Intangible fixed assets	228,338	224,971	222,232	220,278
Tangible fixed assets	1,073,034	1,143,306	1,218,538	1,301,463
Current assets	620,000	749,297	905,137	1,083,846
Cash & others	141,041	254,272	394,711	557,563
Total assets	2,038,986	2,235,188	2,463,521	2,723,202
Operating liabilities	388,504	416,229	444,441	468,950
Gross debt	387,733	377,008	366,951	357,548
Net debt	246,692	122,737	-27,760	-200,014
Shareholders' funds	1,154,152	1,330,038	1,536,899	1,778,159
Invested capital	1,391,827	1,447,073	1,506,754	1,579,075

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	13.9	11.2	8.2	6.4
EBITDA	21.2	13.5	12.3	10.9
Operating profit	22.3	9.8	14.3	13.5
PBT	14.8	7.4	13.8	13.9
HSBC EPS	18.6	11.7	12.7	12.6
Ratios (%)				
Revenue/IC (x)	0.6	0.6	0.6	0.6
ROIC	18.1	17.8	19.4	20.9
ROE	24.4	23.3	22.7	22.1
ROA	12.0	11.5	11.9	12.3
EBITDA margin	41.3	42.2	43.8	45.6
Operating profit margin	32.6	32.2	34.0	36.2
EBITDA/net interest (x)				
Net debt/equity	19.9	8.6	-1.7	-10.7
Net debt/EBITDA (x)	0.8	0.3	-0.1	-0.5
CF from operations/net debt	122.8	263.5		
Per share data (CNY)				
EPS Rep (diluted)	24.32	26.35	30.05	34.32
HSBC EPS (diluted)	28.09	31.37	35.34	39.81
DPS	4.76	5.18	5.92	6.78
Book value	124.85	144.05	166.61	192.94

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	5.7	4.9	4.4	4.0
EV/EBITDA	13.7	11.7	10.1	8.7
EV/IC	3.1	2.9	2.6	2.4
PE*	15.7	14.0	12.4	11.0
PB	3.5	3.1	2.6	2.3
FCF yield (%)	4.7	4.9	5.7	6.3
Dividend yield (%)	1.1	1.2	1.3	1.5

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	30.8	No. of board members	9
Energy intensity*	55.0	Average board tenure (years)	20.0
CO ₂ reduction policy	Yes	Female board members (%)	11.1
Social Indicators		Board members independence (%)	55.6
12/2024a			
Employee costs as % of revenues	17.1		
Employee turnover (%)	n/a		
Diversity policy	Yes		

Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (HKD)	504.50	Free float	67%
Target price (HKD)	750.00	Sector	Internet Software & Services
RIC (Equity)	0700.HK	Country/Region	China
Bloomberg (Equity)	700 HK	Analyst	Charlene Liu
Market cap (USDm)	587,895	Contact	+65 6658 0615

Price relative



Source: HSBC

Note: Priced at close of 10 Apr 2026

AI tracking

On 18 February 2026, Yuanbao announced its DAU exceeded 50m and MAU reached 114m

Exhibit 1: Yuanbao app MAU has dipped after promotion in Chinese New Year

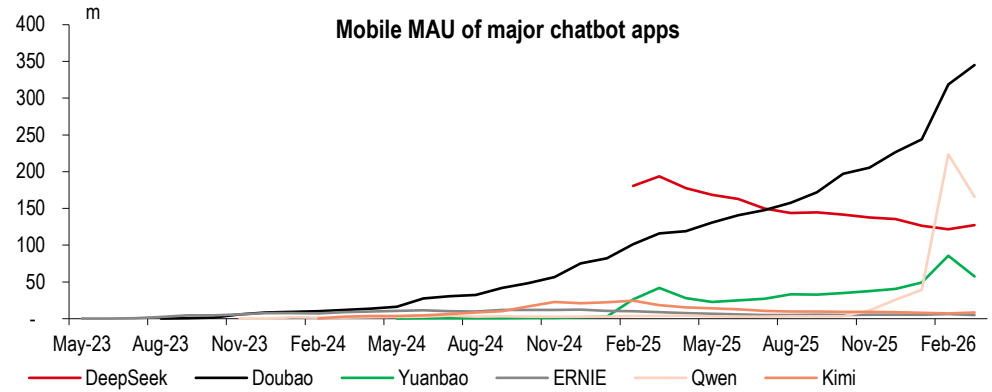


Exhibit 2: Yuanbao app DAU has dipped after promotion in Chinese New Year

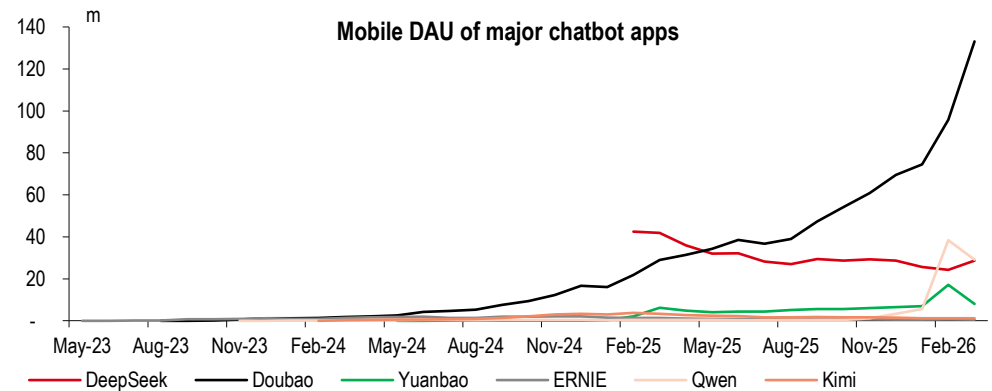


Exhibit 3: Yuanbao app's DAU/MAU ratio has dipped in March

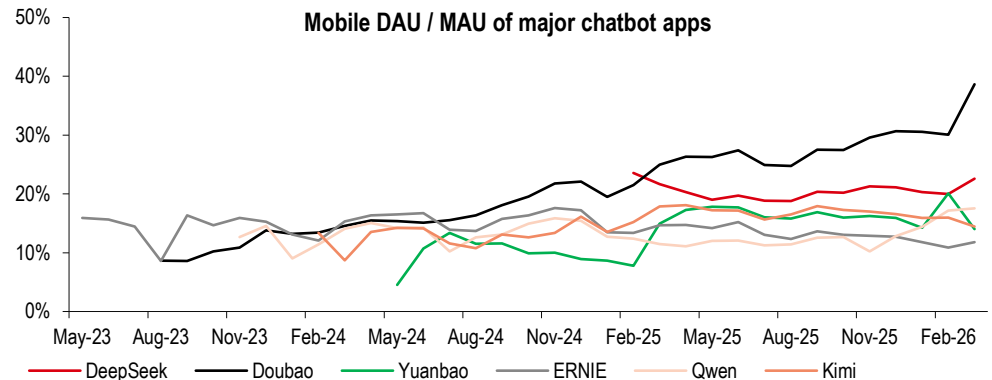
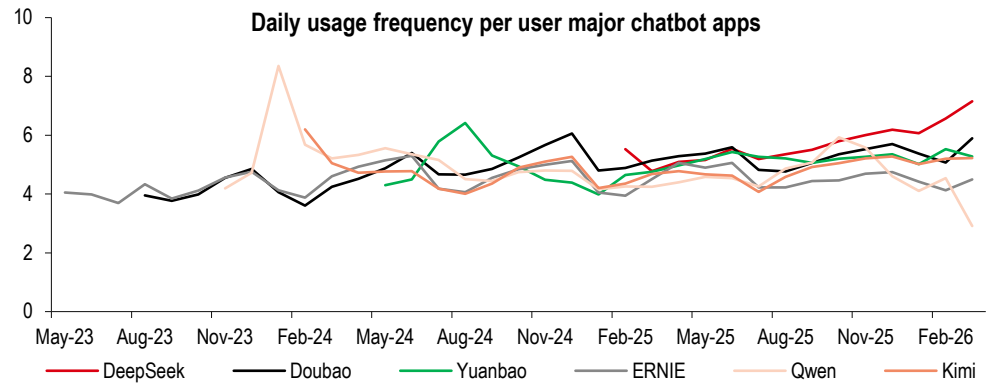
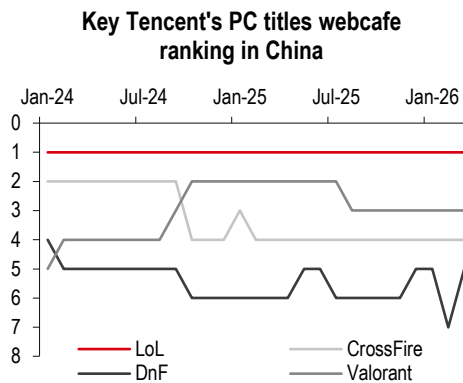


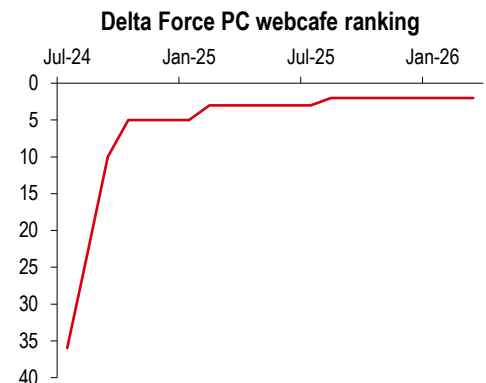
Exhibit 4: Yuanbao app's usage frequency per user has dipped in March


Source: Questmobile

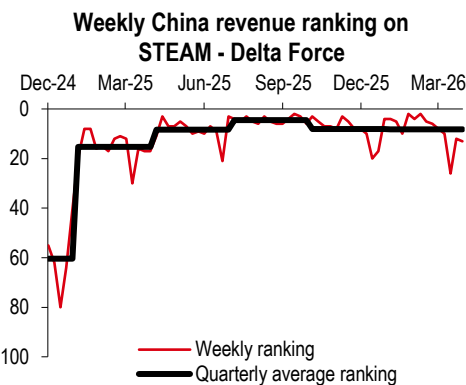
Games tracking

Exhibit 5: Popularity ranking of Tencent's key PC titles in China remain stable


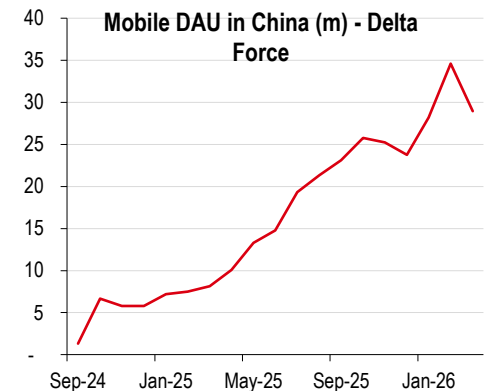
Source: Shunwang

Exhibit 6: Delta Force PC ranks #2 in popularity ranking in web cafes in China


Source: Shunwang

Exhibit 7: Delta Force PC revenue ranking in China stayed at a high level


Source: STEAM, HSBC

Exhibit 8: Delta Force mobile DAU has pulled back


Source: Questmobile

Exhibit 9: Combined STEAM PCU of major shooting games was up 2% y-o-y in 1Q26

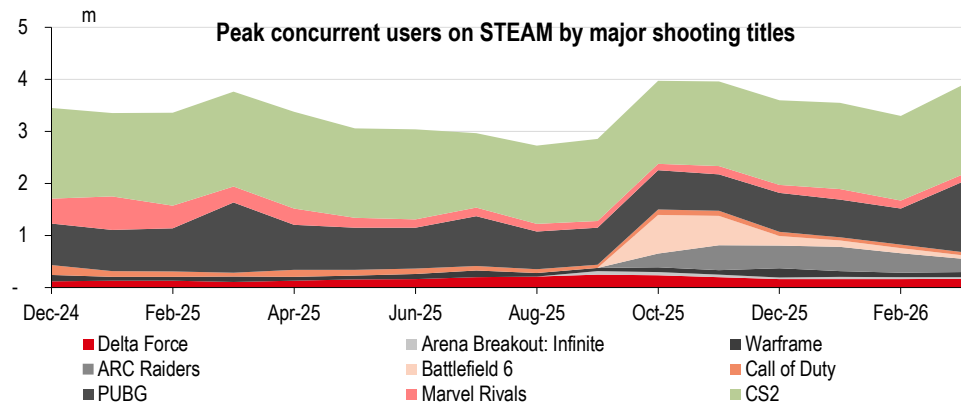


Exhibit 10: The combined shooting games' iOS grossing in China grew 29% y-o-y in 1Q26, driven by contribution from Valorant Mobile and Assault Fire: Future, strong growth from Delta Force and Arena Breakout, offsetting decline from CFM

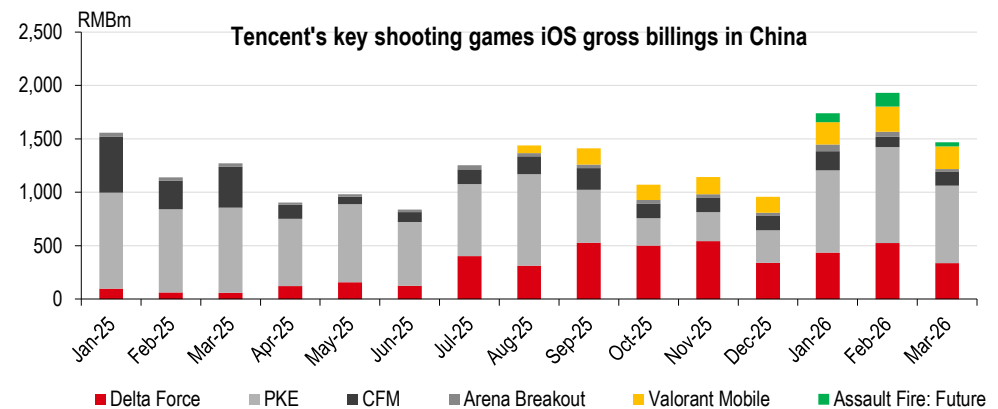


Exhibit 11: The combined iOS grossing from other key titles in China declined y-o-y in 1Q26 given declines from DnFM, LoLM and Fight of the Golden Spatula

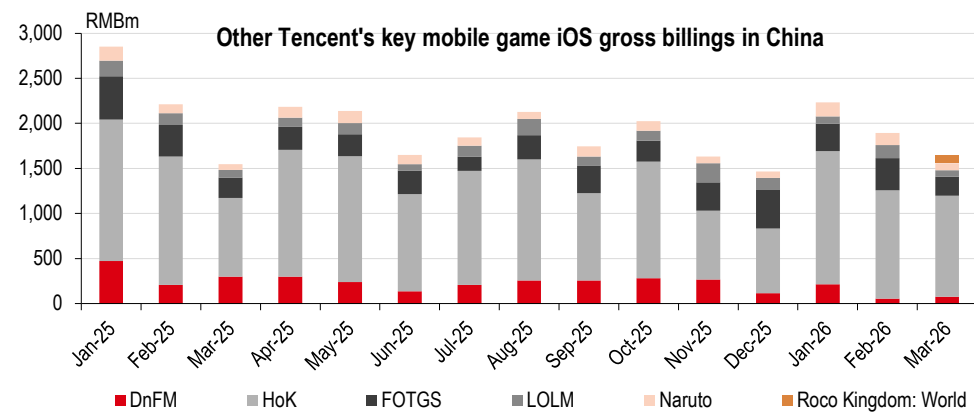
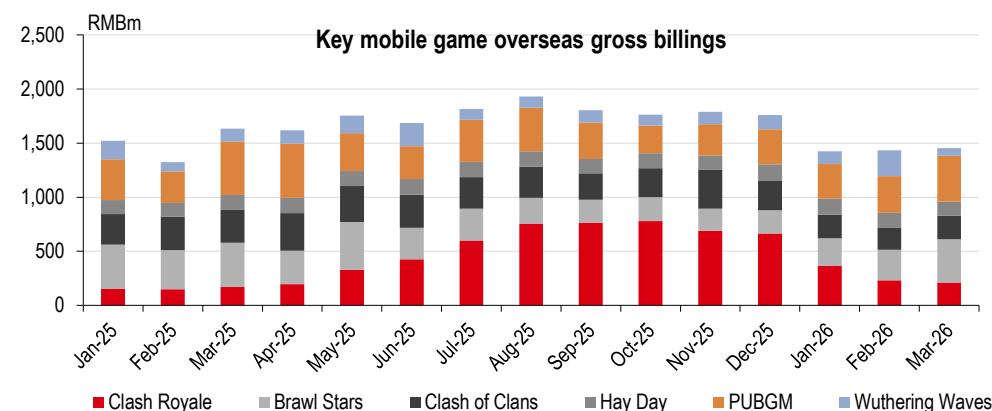


Exhibit 12: The combined key overseas mobile game grossing declined slightly y-o-y in 1Q26, given declines from Brawl Stars and Clash of Clans



Source: Sensortower, Bloomberg

1Q26 preview

Exhibit 13: We expect spending to walk up

	1Q26e	2025	2026e	2027e	2028e
Revenue (y-o-y):					
1. Value-added services	9%	16%	10%	7%	4%
1.1) Social network	5%	5%	6%	6%	4%
1.2) Domestic games	9%	18%	13%	6%	3%
1.3) International games	14%	33%	12%	9%	8%
2. Marketing services	19%	19%	18%	14%	14%
3. Fintech and business services (FBS)	9%	8%	8%	7%	5%
Total revenue	11%	14%	11%	8%	6%
Revenue mix (%):					
1. VAS	50%	49%	49%	48%	47%
1.1) Social network	17%	17%	16%	16%	16%
1.2) Domestic games	23%	22%	22%	22%	21%
1.3) International games	10%	10%	10%	10%	11%
2. Marketing services	19%	19%	20%	22%	23%
3. Fintech and business services (FBS)	30%	31%	30%	29%	29%
GPM:					
1. VAS	60%	60%	62%	63%	64%
2. Marketing services	57%	58%	59%	60%	62%
3. Fintech and business services	47%	51%	52%	54%	56%
GP (y-o-y)	9%	21%	14%	11%	9%
Non-IRFS OP (y-o-y)	7%	18%	10%	13%	13%
Non-IRFS net profit (y-o-y)	8%	17%	12%	13%	13%
Non-IRFS EPS (y-o-y)	15%	22%	17%	13%	13%

Source: Company data, HSBC estimates

Shareholder returns

Exhibit 14: Tencent has stepped up daily buyback to HKD1bn/day recently

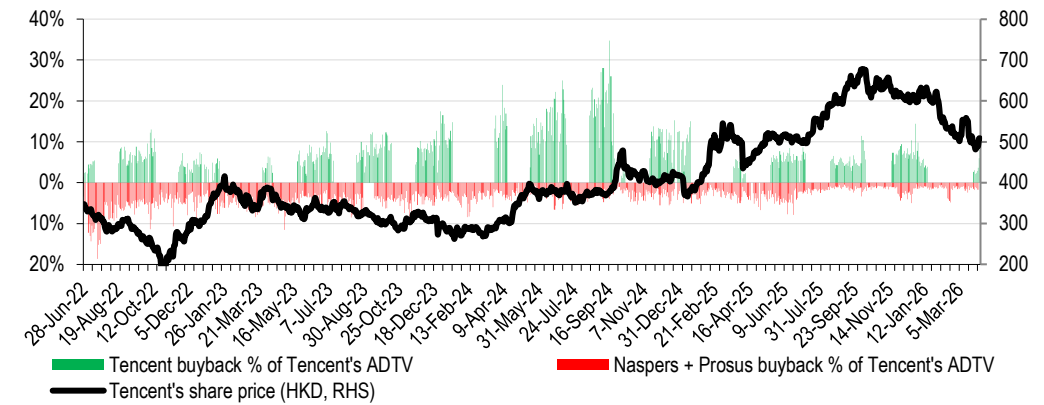
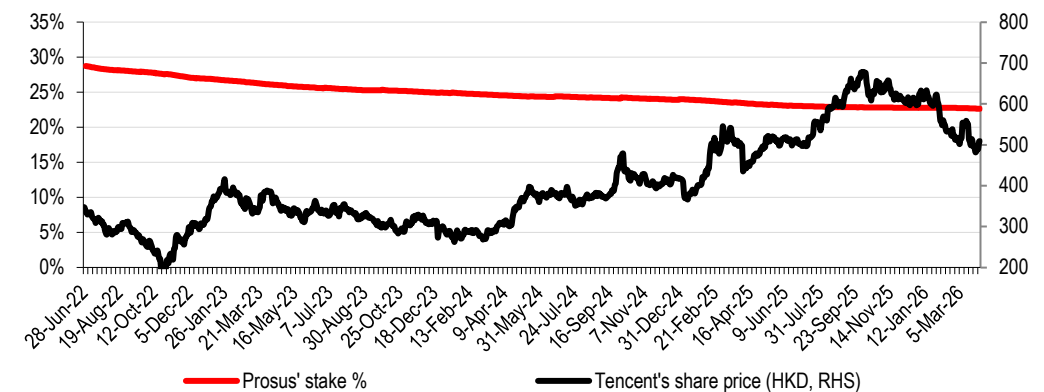


Exhibit 15: Prosus's stake in Tencent fell to 22.65% as of 9 April 2026



Valuation and risks

Valuation		Risks to our view
Tencent 700 HK Buy	Current price: HKD504.50 Target price: HKD700.00 Up/downside: +48.7%	Methodology: DCF Assumptions: WACC of 8.4% is based on a debt/debt-and-equity ratio of 21%, risk-free rate of 4.25%, mainland China market equity risk premium of 4.75%, beta of 1.21, tax rate of 25%, and cost of debt of 3.2%. Terminal growth rate of 3.5%. Our inputs remain unchanged. We derive a TP of HKD750 (unchanged), which implies c.49% upside; we therefore maintain our Buy rating. We see solid fundamentals in games and ads. RMB counter: For the RMB counter (80700 HK, RMB438.20), our TP of RMB674.00 (unchanged) is converted from our H-share target price based on the HSBC fx team's RMB-HKD assumption of 1.16 at end-2026e.
		Downside risks: ◆ Inability to get monetisation approval for games ◆ Regulatory headwinds for games and internet finance ◆ A deeper macro slowdown that could affect advertisers' budgets ◆ Inappropriate advertising and video content ◆ Changes in user preferences in terms of entertainment formats or communications ◆ Overhang from major shareholders' reduction of stake over time ◆ Being included in lists of overseas regulators that can affect operations or even trading/ownership of the stock.

Disclosure appendix

Analyst Certification

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From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 31 March 2026, the distribution of all independent ratings published by HSBC is as follows:

Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

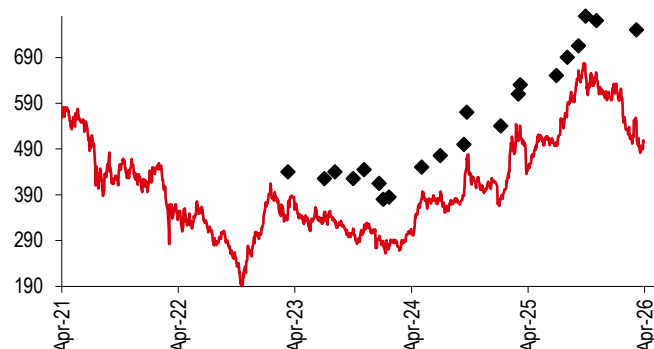
For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see “Stock ratings and basis for financial analysis” above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

Share price and rating changes for long-term investment opportunities

Tencent Holdings (0700.HK) share price performance

HKD Vs HSBC rating history

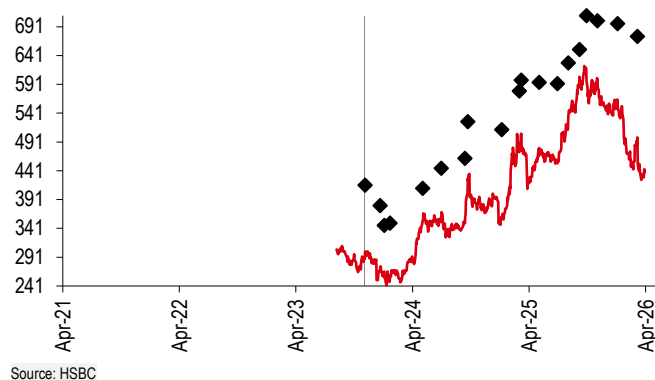


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	30 Jan 2019	Binnie Wong
Target price	Value	Date	Analyst
Price 1	440.00	22 Mar 2023	Charlene Liu
Price 2	425.00	14 Jul 2023	Charlene Liu
Price 3	440.00	16 Aug 2023	Charlene Liu
Price 4	425.00	12 Oct 2023	Charlene Liu
Price 5	445.00	15 Nov 2023	Charlene Liu
Price 6	415.00	02 Jan 2024	Charlene Liu
Price 7	380.00	15 Jan 2024	Charlene Liu
Price 8	385.00	02 Feb 2024	Charlene Liu
Price 9	450.00	14 May 2024	Charlene Liu
Price 10	475.00	11 Jul 2024	Charlene Liu
Price 11	500.00	23 Sep 2024	Charlene Liu
Price 12	570.00	02 Oct 2024	Charlene Liu
Price 13	540.00	17 Jan 2025	Charlene Liu
Price 14	610.00	13 Mar 2025	Charlene Liu
Price 15	630.00	19 Mar 2025	Charlene Liu
Price 16	650.00	10 Jul 2025	Charlene Liu
Price 17	690.00	13 Aug 2025	Charlene Liu
Price 18	715.00	17 Sep 2025	Charlene Liu
Price 19	780.00	10 Oct 2025	Charlene Liu
Price 20	770.00	13 Nov 2025	Charlene Liu
Price 21	750.00	18 Mar 2026	Charlene Liu

Source: HSBC

**Tencent Holdings (80700.HK) share price performance
CNY Vs HSBC rating history**

Rating & target price history

From	To	Date	Analyst
N/A	Buy	15 Nov 2023	Charlene Liu
Target price	Value	Date	Analyst
Price 1	416.00	15 Nov 2023	Charlene Liu
Price 2	380.00	02 Jan 2024	Charlene Liu
Price 3	346.00	15 Jan 2024	Charlene Liu
Price 4	350.00	02 Feb 2024	Charlene Liu
Price 5	410.00	14 May 2024	Charlene Liu
Price 6	445.00	11 Jul 2024	Charlene Liu
Price 7	462.00	23 Sep 2024	Charlene Liu
Price 8	526.00	02 Oct 2024	Charlene Liu
Price 9	512.00	17 Jan 2025	Charlene Liu
Price 10	579.00	13 Mar 2025	Charlene Liu
Price 11	598.00	19 Mar 2025	Charlene Liu
Price 12	594.00	14 May 2025	Charlene Liu
Price 13	592.00	10 Jul 2025	Charlene Liu
Price 14	628.00	13 Aug 2025	Charlene Liu
Price 15	651.00	17 Sep 2025	Charlene Liu
Price 16	710.00	10 Oct 2025	Charlene Liu
Price 17	701.00	13 Nov 2025	Charlene Liu
Price 18	696.00	15 Jan 2026	Charlene Liu
Price 19	674.00	18 Mar 2026	Charlene Liu

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

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All other clients: www.research.hsbc.com/A/Disclosures

HSBC & Analyst disclosures
Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
TENCENT HOLDINGS	0700.HK	504.50	10 Apr 2026	1, 4, 5, 6, 7, 11

Source: HSBC

- HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
- HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
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